



SUMMARY REPORT

Agenda Date: 6/11/2019

To: Sonoma County Board of Supervisors

Department or Agency Name(s): General Services / Department of Health Services

Staff Name and Phone Number: Caroline Judy, 565-8058; Barbie Robinson, 565-7876

Vote Requirement: Majority

Supervisorial District(s): All

Title:

Lease Amendment for Department of Health Services at 490 Mendocino Avenue, Santa Rosa

Recommended Actions:

Authorize the Clerk to publish a notice, declaring the Board's intention to execute a Lease Amendment with 490 MENDOCINO T.I.C (Landlord), for office space at 490 Mendocino Avenue, Suites 101, 102, 103, Santa Rosa; to extend the lease for a three and one half month period to expire September 15, 2019, at a rental rate of \$21,760.90 per month (\$2.27per sq. ft.), to allow the Department of Health Services' Public Health Division) continued use of the Premises as "swing space" for Public Health Division staff requiring temporary relocation from Public Health Division's main location at 625 5th Street while tenant improvements are being completed at 625 5th Street.

Executive Summary:

This item seeks authorization for the Clerk of the Board to publish a notice declaring the Board's intent to execute a Lease Amendment (Amendment) for 9,605 square feet of office space located at 490 Mendocino Avenue, Suites 101, 102, 103, Santa Rosa (Premises). The Amendment will allow a three and one half month lease extension, from June 1, 2019 through September 15, 2019, at a rental rate of \$21,760.90 per month Full Service, unchanged from the previous eighteen month's rental rate. The Amendment will allow the Department of Health Services' Public Health Division continued use of the Premises as "swing space" for Public Health Division staff requiring temporary relocation from Public Health Division's main location at 625 5th Street while tenant improvements are being completed at 625 5th Street.

Discussion:

The Department of Health Services' has leased office space at 490 Mendocino Avenue, Suites 101, 102, 103, Santa Rosa (Premises) since December 1, 2013. The Department of Health Services' Health Policy, Planning and Evaluation Unit (HPPE) occupied the Premises through most of the Lease term before relocating in January 2019 to the Department of Health Services new administration center at 1450 Neotomas Avenue, Santa Rosa.

On December 4, 2018 the Board authorized the Director of General Services to execute a Lease Amendment

for the Premises that provided a six month lease term extension, from December 1, 2018 - May 31, 2019. This Lease term extension allowed HPPE to continue uninterrupted operations at the Premises while tenant improvements were completed at 1450 Neotomas Avenue. It also made the Premises available as “swing space” for the Department of Health Services’ Public Health Division staff from nearby 625 5th Street whom required temporary relocation due to extensive tenant improvements underway at 625 5th Street.

Since February 2019, the Premises has been used as “swing space” by the Department of Health Services’ Public Health Division for staff requiring temporary relocation from its main location at 625 5th Street while tenant improvements are being completed at 625 5th Street. The Department of Health Services Public Health Division has occupied its premises at 625 5th Street, Santa Rosa since December 2000. The Division offers the following services at this location:

Environmental Health and Safety - Consumer and Environmental Protection programs; Family Health Services - Maternal Child and Adolescent Health Coordination and Planning, Field Nursing, Teen Parent Connections, Nurse Family Partnership; Health Care Coordination - California Children’s Services, Foster Care Nursing; Healthy Communities programs; Disease Control and Surveillance including clinical services; Public Health Preparedness program and mobilization staff; Public Health Program Support staff; Vital Statistics; and support for a variety of commissions and committees.

Staff at this facility provide support for a variety of offsite programs including Women Infants & Children program; Animal Services; Regional Public Health Laboratory; Coastal Valleys Emergency Medical Services Agency; Special Clinical Services and Medical Therapy Units.

Staff recommends approval of the Lease Amendment to allow the Department of Health Services’ Public Health Division continued use of the Premises at 490 Mendocino Avenue as “swing space” while it waits for tenant improvements to be completed at its main location at 625 5th Street, thereby minimizing staff and public inconvenience resulting from ongoing construction of tenant improvements at 625 5th Street. If this Lease Amendment is not approved, the Department of Health Services’ Public Health Division may lose the ability to use the 490 Mendocino Avenue Premises as “swing space” to temporarily relocate staff while office space is being renovated at 615 5th Street. This loss of “swing space” will result in a delay in completion of tenant improvements at 625 5th Street and significant staff and public inconvenience as tenant improvements are conducted in occupied spaces at 625 5th Street.

Board approval of the proposed Lease will allow the Department of Health Services’ Public Health Division continued use of the Premises at 490 Mendocino Avenue as “swing space” while it waits for tenant improvements to be completed at its main location at 625 5th Street, thereby minimizing staff and public inconvenience resulting from ongoing construction of tenant improvements at 625 5th Street.

Proposed Amendment: Staff has negotiated an amendment to the Lease as follows:

Lease Term: Three and one half month lease extension, from June 1, 2019 through September 15, 2019. During this time period the County will be allowed continued use of the existing Premises.

Rent: Rent to remain unchanged from the previous 18 months at \$21,760.90 per month (\$2.27 per sq. ft.). Landlord is responsible for all taxes, insurance, utilities and janitorial service for the Premises. The County will also be allowed use of an Information Technology equipment closet located in a different area of the building on a month-to-month basis free of charge.

Regulatory Conformance: The project conforms with all regulatory requirements.

Procedural Authority: Government Code Section 25350 requires publication of notice of the Board's intent to enter into a lease for three successive weeks prior to execution of the lease agreement where it is valued at more than \$50,000. If your Board takes the requested action, this matter will return to the Board on or after July 9, 2019, for consideration and consummation of the proposed lease amendment.

Prior Board Actions:

12-04-18: Authorize General Services Director to execute Lease Amendment
10-23-18: Declare intent to enter into Lease Amendment
11-05-13: Authorized General Services Director to execute Lease
10-08-13: Declared intent to enter into Lease

FISCAL SUMMARY

Expenditures	FY 18-19 Adopted	FY19-20 Projected	FY 20-21 Projected
Budgeted Expenses			
Additional Appropriation Requested	\$21,760.90	\$54,402.25	
Total Expenditures	\$21,760.90	\$54,402.25	
Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other			
Use of Fund Balance	\$21,760.90	\$54,402.25	
Contingencies			
Total Sources	\$21,760.90	\$54,402.25	

Narrative Explanation of Fiscal Impacts:

Department of Health Services will use available fund balance from their Intergovernmental Transfer fund (Dept ID 22050500) to cover the short term increase in rental expenses. Adjustment will be included in Department of Health Services' consolidated budget adjustments for FY 18-19, FY 19-20.

Staffing Impacts:			
Position Title (Payroll)	Monthly Salary Range (A - I Step)	Additions (number)	Deletions (number)

Narrative Explanation of Staffing Impacts (If Required):

None

Attachments:

Attachment 1: Notice of Intent

Attachment 2: Proposed Amendment

Related Items "On File" with the Clerk of the Board:

None